Luminor Bank

Issuer review · 1H2026

Analysis date: 2026-10-22
Rating: Moody's - affirmed after the OTP announcement (grade to be confirmed; 2025 annual report refers to 'current A2 rating')[1,2]
Next report: 3Q 2026 interim report - expected November 2026

Position OK. Capital and liquidity are well above requirements, and Moody's kept the rating after the OTP Bank deal was announced[1]. Profit fell about a fifth[3]. The 7.75% bond XS2633112565 was redeemed in June 2026 and is no longer outstanding[4,5].

Net profit (2Q2026)	ROE (1H2026)	CET1 ratio (1H2026)	LCR (1H2026)
37.4 EUR m	**7.7%**	**19.6%**	**187.0%**
▼ 19.0 % vs 2Q2025	▼ 0.9 p. p. vs FY2025	▼ 1 p. p. vs 1H2025	▲ 23.7 p. p. vs 1H2025

Quick summary

- **Profit down about a fifth:** 1H 2026 net profit EUR 72.0m versus 91.6m a year ago; Q2 alone EUR 37.4m versus 46.2m. Return on equity 7.7%[6].
- **Capital and liquidity well above requirements:** CET1 19.6% and total capital 23.7%. MREL 36.34% of TREA versus a 23.69% requirement plus buffers. Liquidity: LCR 187.0%, NSFR 142.3%[5].
- **New owner coming:** on 2026-07-20 it was announced that OTP Bank will buy 100% of Luminor from the Blackstone-led consortium and DNB. Regulatory approvals are pending. Moody's kept the rating and outlook[7].
- **Part of capital to be returned:** on 2026-07-17 the ECB approved a EUR 200.0m reduction of CET1 capital, expected in Q4 2026[8].
- **Cheaper funding:** a EUR 300m senior bond at MS+4.471% was repaid and the first EUR 500m senior non-preferred bond was issued at MS+1.28%[5].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
XS3079969104	Luminor Bank 3.551% 2029	3.551%	2029-06-12	Senior preferred; callable at par 2028-06-12, then 3M EURIBOR+1.55%
XS2888497067	Luminor Bank 4.042% 2028	4.042%	2028-09-10	Senior preferred; callable at par 2027-09-10, then 3M EURIBOR+1.50%
XS2982074861	Luminor 7.375% perpetual	7.375%	perpetual	⚠ Perpetual, issued 2025-02-12

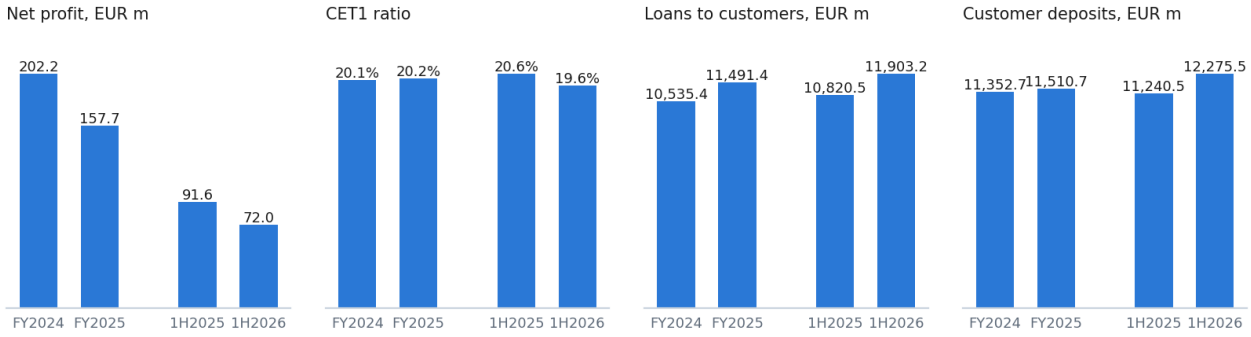
Key ratios

Metric	FY2024	FY2025	1H2025	1H2026	Change
Net profit, EUR m[9,3]	202.2	157.7	91.6	72.0	**▼ 21.4 % vs 1H2025**
Net interest income, EUR m[9,10,3]	507.7	427.3	214.7	214.4	**▼ 0.1 % vs 1H2025**
Total operating income, EUR m[9,10,3]	632.8	544.7	269.5	271.7	**▲ 0.8 % vs 1H2025**
Cost/income ratio[11,10,12]	54.5%	64.7%	60.1%[c]	**65.5%**	**▲ 5.4 p. p. vs 1H2025**
ROE[11,10]	11.7%	8.6%	–	**7.7%**	–
Cost of risk[10]	–	0.01%	–	0.14%	–
Net interest margin[9,13,12]	3.33%	2.71%	2.84%	2.70%	**▼ 0.14 p. p. vs 1H2025**

Metric	FY2024	FY2025	1H2025	1H2026	Change
Loans to customers, EUR m[13,5,14]	10,535.4	11,491.4	10,820.5	11,903.2	▲ 10.0 % vs 1H2025
Customer deposits, EUR m[13,5,14]	11,352.7	11,510.7	11,240.5	12,275.5	▲ 9.2 % vs 1H2025
CET1 ratio[2,13,15]	20.1%	20.2%	20.6%	**19.6%**	▼ 1 p. p. vs 1H2025
Total capital ratio[2,13,15]	22.7%	24.6%	25.2%	**23.7%**	▼ 1.5 p. p. vs 1H2025
Leverage ratio[2,13,15]	9.1%	10.0%	10.3%	**9.9%**	▼ 0.4 p. p. vs 1H2025
MREL (% of TREA)[13,5]	–	35.54%	–	36.34%	▲ 0.8 p. p. vs FY2025
LCR[13,14,5]	205.1%	174.6%	163.3%	**187.0%**	▲ 23.7 p. p. vs 1H2025
NSFR[13,14,5]	143.6%	134.1%	133.8%	**142.3%**	▲ 8.5 p. p. vs 1H2025
NPL ratio[16,13,17]	1.8%	2.0%	1.7%	**2.1%**	▲ 0.4 p. p. vs 1H2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – verify in the original; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- Loans to customers EUR 11,903.2m (+3.6% since YE2025), deposits EUR 12,275.5m (+6.6%; changes calculated by the tool)[5].
- Net interest income 1H EUR 214.4m; net interest margin 2.70% (2025: 2.71%)[10,13].
- **Cost/income 65.5% (2025:** 64.7%); cost of risk 0.14% (0.01%); NPL ratio 2.1% (2.0%)[10].
- EUR 74.0m of dividends for 2025 paid in 1H 2026[5].

Financials

- **FY2025 net profit EUR 157.7m (2024:** 202.2m, −22.0%), ROE 8.6%, CET1 20.2%, total capital 24.6%[18].
- **FY2025 figures restated in the 2Q report:** net interest income EUR 427.3m (annual report: 419.8m), total income EUR 544.7m (537.2m)[10,19].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Issue senior non-preferred bonds while keeping the current A2 rating (2025 annual report)	EUR 500m SNP issued in 1H 2026; Moody's affirmed the rating[2,1]	Met: EUR 500m SNP issued at MS+1.28% while a EUR 300m senior bond at MS+4.471% was redeemed, so funding became cheaper[5].	**Met**
Reduce CET1 capital by EUR 200.0m (approval received 2026-07)	Planned for Q4 2026[8]	New plan: the ECB approved it on 2026-07-17. Capital is well above requirements (CET1 19.6%), so excess capital is returned[8].	**In progress**
Owners: Blackstone-led consortium (80.05%) and DNB (19.95%) (2025 annual report)	Sale to OTP Bank (100%) announced 2026-07-20, approvals pending[20,21]	Changed: the owners agreed to sell 100% to OTP Bank; Moody's affirmed the rating and outlook after the announcement[7].	**Revised**

Investor information & conclusions

- **Instruments held:** two senior preferred bonds, 4.042% 2028 (issuer call at par 2027-09-10) and 3.551% 2029 (call 2028-06-12), and a 7.375% perpetual bond[22,23,24]. The 7.75% 2027 bond XS2633112565 had a call date of 2026-06-08 and Luminor redeemed this EUR 300m bond in 1H 2026, so it is no longer outstanding[4,5].
- **For bondholders:** capital and MREL buffers are well above requirements and liquidity has increased. The EUR 200m CET1 reduction will lower the buffer; the bank does not state the impact on the CET1 ratio in the sources[5].
- **OTP deal:** Moody's kept the rating and outlook after the announcement, so there is no rating impact so far[1]. Both held senior bonds can be called by the issuer at par, in 2027 and 2028[22,23].
- **Conclusion:** profitability is declining (1H profit −21%), but capital, MREL and liquidity have large buffers. The key event for holders is the change of owner to OTP. Watch: 3Q report, OTP deal approvals, the Q4 capital reduction.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- The bank is not active in excluded sectors.
- Sustainable real estate and renewable energy lending is growing (EUR 305.4m in 2025)[25].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found in public sources and the news scan (2026-10-22).
- No AML fines reported
- The only regulatory note in 2025 was a Finantsinspektsioon precept on basic payment service procedures[26].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

Possible match – review

- EU: luminor
- US OFAC: luminor (automatic check 2026-10-22).

☑ Yes, issues were not identified from adverse media checks (add a screenshot)

- No adverse news found in the automatic news scan (last 30 days, 2026-10-22)
- Most news is about the OTP Bank deal.

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company’s Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Sustainable real estate and renewable energy lending EUR 305.4m in 2025 (EUR 182.4m in 2024), target EUR 700m by 2030
- Green or sustainability-linked bonds 7.4% of the bond portfolio
- Sustainalytics ESG risk rating 18.4 (low risk)[25].

☑ Yes, the activities of the company or it’s strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Target to become climate neutral by 2050[25]

- Financed emissions measured with the PCAF method[27]
- Green or sustainability-linked bonds 7.4% of the bond portfolio, target 50% by 2030[25].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- No yellow flags found.
- Ownership will move to OTP Bank (Hungary) once approvals are received[21].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[28].

Met

- No breach of governance or international norms found (quick search, 2026-10-22)
- Financed emissions disclosed using PCAF (Scope 3 3.2m t CO2e in 2025)[27]
- Climate neutrality target for 2050[25]
- Sustainable real estate and renewable lending EUR 305.4m, target EUR 700m by 2030[25]
- Sustainalytics ESG risk rating 18.4 (low risk)[25]
- Human rights commitment[29]
- AML and sanctions compliance[29]
- Anti-bribery measures and whistleblowing channels[30].

Could be improved

- No public lending exclusion list (coal, oil & gas, weapons) or UN Global Compact membership found.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: capital, liquidity and ESG practices are solid.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Financed emissions (Scope 3) 3.2m t CO2e in 2025, PCAF method[27]
- Women on the Supervisory Council 33.3% (target 40%)[31]
- Sustainalytics ESG risk rating 18.4, low risk[25].

Additional comments:

Conclusion: No exclusions or red flags. Solid ESG practice: financed emissions measured (PCAF), climate-neutrality target, growing green lending and a low ESG risk rating. Ownership moves to OTP Bank.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

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4. Final Terms Series 11 - 7.750% notes XS2633112565, 2023-06-06
5. Luminor Bank - Interim report 2Q 2026, 2026-08-11
6. Luminor Bank - Interim report 2Q 2026, p. 5, 16, 2026-08-11
7. Luminor Bank - Interim report 2Q 2026, p. 4, 15, 2026-08-11
8. Luminor Bank - Interim report 2Q 2026, p. 4, 8, 2026-08-11
9. Luminor Bank - Annual report 2025, p. 7, 2026
10. Luminor Bank - Interim report 2Q 2026, p. 16, 2026-08-11
11. Luminor Bank - Annual report 2025, p. 2, 2026
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14. Luminor Bank - Interim report 2Q 2026, p. 6, 2026-08-11
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26. Luminor Bank - Annual report 2025, p. 16, 2026
27. Luminor Bank - Annual report 2025, p. 22, 2026
28. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
29. Luminor Bank - Annual report 2025, p. 18, 2026
30. Luminor Bank - Annual report 2025, p. 23, 28, 2026
31. Luminor Bank - Annual report 2025, p. 29, 2026

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